

26TRCV00653 26TRCV00653

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Case Number: 26TRCV00653 Hearing Date: July 29, 2026 Dept: M

LOS ANGELES SUPERIOR COURT –
SOUTHWEST DISTRICT

Honorable Amy N. Carter Tuesday, July 29, 2026

Department M Calendar No.

PROCEEDINGS

Michael

J. Sarlo, et al. v. Kevin M. Breen, et al.

26TRCV00653

1.

Cushman &

Wakefield U.S., Inc., et al.'s Demurrer to Complaint

2.

Michelle D.

Gambino's Application to Appear as Counsel Pro Hac Vice

3.

Thomas J. McKee,

Jr.'s Application to Appear as Counsel Pro Hac Vice

TENTATIVE RULING

Cushman & Wakefield, U.S., Inc.,
et al.'s Demurrer to Complaint is overruled.

Michelle D. Gambino's Application to Appear as Counsel
Pro Hac Vice is granted.

Thomas J. McKee, Jr.'s Application to Appear as
Counsel Pro Hac Vice is denied without prejudice.

Background

Plaintiff filed the Complaint on February 23, 2026. Plaintiff alleges the following facts. Plaintiff purchased a shopping center in Palos Verdes Estates in July 2023. Defendants, real estate brokers, committed professional negligence by failing to disclose the existence of prior water damage, specifically an "underground river" on the property. Plaintiff alleges a sole cause of action for Professional Negligence.

Meet and Confer

Defendants set forth a meet and confer declaration in sufficient compliance with CCP § 430.41. (Decl. Alex Linhardt.)

Request for Judicial Notice

Defendants' request for judicial notice ("RJN") is granted, in part. The Court takes judicial notice of the existence of the purchase and sale agreement and the third amendment to the agreement but does not take judicial notice of the truth of any of the matters asserted therein.

Demurrer

A demurrer tests the sufficiency of a complaint as a matter of law and raises only questions of law. (Schmidt v. Foundation Health (1995) 35 Cal.App.4th 1702, 1706.) In testing the sufficiency of the complaint, the court must assume the truth of (1) the properly pleaded factual allegations; (2) facts that can be reasonably inferred from those expressly pleaded; and (3) judicially noticed matters. (Blank v. Kirwan (1985) 39 Cal.3d 311, 318.) The Court may not

consider contentions, deductions, or conclusions of fact or law. (Moore v. Conliffe (1994) 7 Cal.App.4th 634, 638.) Because a demurrer tests the legal sufficiency of a complaint, the plaintiff must show that the complaint alleges facts sufficient to establish every element of each cause of action. (Rakestraw v. California Physicians Service (2000) 81 Cal.App.4th 39, 43.)

Where the complaint fails to state facts sufficient to constitute a cause of action, courts should sustain the demurrer. (C.C.P., § 430.10(e); Zelig v. County of Los Angeles (2002) 27 Cal.App.4th 1112, 1126.)

Sufficient facts are the essential facts of the case "with reasonable precision and with particularity sufficiently specific to acquaint the defendant with the nature, source, and extent of his cause of action." (Gressley v. Williams (1961) 193 Cal.App.2d 636, 643-644.) "Whether the plaintiff will be able to prove the pleaded facts is irrelevant to ruling upon the demurrer." (Stevens v. Superior Court (1986) 180 Cal.App.3d 605, 609–610.) Under Code Civil Procedure § 430.10(f), a demurrer may also be sustained if a complaint is "uncertain." Uncertainty exists where a complaint's factual allegations are so confusing they do not sufficiently apprise a defendant of the issues it is being asked to meet. (Williams v. Beechnut Nutrition Corp. (1986) 185 Cal.App.3d 135, 139, fn. 2.)

Defendants demur to the Complaint and the sole cause of action for Professional Negligence on the grounds that Plaintiff fails to state facts sufficient to state a cause of action and that the cause of action is uncertain. CCP § 430.10(e)(f).

First Cause of Action for Professional Negligence

Defendants' demurrer to the first cause of action is overruled. Plaintiff states sufficient facts to state a cause of action.

"To state a cause of action for professional negligence, a party must show (1) the duty of the professional to use such skill, prudence and diligence as other members of the profession commonly possess and exercise; (2) breach of that duty; (3) a causal connection between the negligent conduct and the resulting injury; and (4) actual loss or damage resulting from the professional negligence." Giacometti v. Aulla, LLC (2010) 187 Cal.App.4th 1133, 1137

(internal quotation omitted).

Pursuant

to Code Civ. Proc., § 339(1) a two year statute of limitations applies to:

“1.

An action upon a contract, obligation or liability not founded upon an instrument of writing, except as provided in Section 2725 of the Commercial Code or subdivision 2 of Section 337 of this code; or an action founded upon a contract, obligation or liability, evidenced by a certificate, or abstract or guaranty of title of real property, or by a policy of title insurance; provided, that the cause of action upon a contract, obligation or liability evidenced by a certificate, or abstract or guaranty of title of real property or policy of title insurance shall not be deemed to have accrued until the discovery of the loss or damage suffered by the aggrieved party thereunder.”

Defendants

argue that the cause of action is barred by the two-year statute of limitations. The purchase date of the property was July 23, 2023. Defendants state that the statute of limitations ran from that date and thus the Complaint, which was filed on February 23, 2026 is barred by the statute of limitations. In fact, Defendants contend that Plaintiff specifically admits being aware of the water intrusion as early as April 11, 2023. (Complaint, ¶¶ 17-19).

Plaintiff

attempts to invoke the delayed discovery rule. “In order to rely on the discovery rule for delayed accrual of a cause of action, [a] plaintiff whose complaint shows on its face that his claim would be barred without the benefit of the discovery rule must specifically plead facts to show (1) the time and manner of discovery and (2) the inability to have made earlier discovery despite reasonable diligence. In assessing the sufficiency of the allegations of delayed discovery, the court places the burden on the plaintiff to show diligence; conclusory allegations will not withstand demurrer.” Fox v. Ethicon Endo-Surgery, Inc. (2005) 35 Cal.4th 797, 808 (internal citations and quotations omitted).

Plaintiff has alleged

sufficient facts to invoke the delayed discovery rule including the time and manner of discovery and the inability to have made the discovery earlier despite reasonable diligence. (Complaint, ¶¶ 22-43). Defendant argues, as noted

above, that Plaintiff appears to have been aware of the water intrusion as early as April 2023 and no facts are alleged as to how, through reasonable diligence, Plaintiff could not have attempted to discover the extent of the intrusion beginning on that date. Here, however, Plaintiff has alleged that he discovered the basis for the cause of action in December 2024 when Plaintiff first became aware that demurring Defendants were the co-listing broker. In addition, Plaintiff has alleged that, while he was aware of water damage, Plaintiff believed it was merely from a recent storm rather than an on-going issue that had previously existed. Plaintiff alleges that he was misled by co-Defendant Kaplan that the water damage was merely from the storm rather than from this serious pre-existing issue. Thus, Plaintiff alleges that he had no reason to suspect the actual cause of the water damage until December 2024 when he finally obtained the geotechnical reports. Plaintiff also states that he was not even aware that demurring Defendants were co-listing brokers until this time. (Complaint, ¶¶ 22-31). While Defendant argues that these facts fail to indicate diligence, this would be a factual issue not appropriate for adjudication with a demurrer.

Defendant also argues that the purchase agreement contains “as-is” language that would preclude Plaintiff’s cause of action. First, there is no showing that demurring Defendants are parties to this agreement. Second, the cause of action alleged here is based in Tort – Professional Negligence and not contract. “[A]n ‘as is’ provision, ‘generally speaking, ... means that the buyer takes the property in the condition visible to or observable by him. [Citations.]’ ... ‘It ... does not in itself protect ... or absolve [a seller] from liability for ... passive concealment.’” *Loughrin v. Superior Court* (1993) 15 Cal.App.4th 1188, 1192.

Generally, an “as-is” provision in a purchase agreement does not preclude a professional negligence cause of action against a real estate broker as the law imposes independent statutory and common law duties upon the broker to inspect and disclose material facts to potential buyers. These duties run directly between the broker and the buyer and not via the purchase agreement. Because the broker is a non-party to the purchase agreement containing the as-is language, generally, the contractual provision cannot release the broker. Civ. Code § 2079.

Civ. Code, § 2079 states:

“(a) It is the duty of a real estate broker or salesperson, licensed under Division 4 (commencing with Section 10000) of the Business and Professions Code, to a prospective buyer of residential real property improved with one to four dwelling units or a manufactured home as defined in Section 18007 of the Health and Safety Code, to conduct a reasonably competent and diligent visual inspection of the property offered for sale and to disclose to that prospective buyer all facts materially affecting the value or desirability of the property that an investigation would reveal, if that broker has a written contract with the seller to find or obtain a buyer or is a broker who acts in cooperation with that broker to find and obtain a buyer.

(b) It is the duty of a real estate broker or salesperson, licensed under Division 4 (commencing with Section 10000) of the Business and Professions Code, to comply with this section and any regulations imposing standards of professional conduct adopted pursuant to Section 10080 of the Business and Professions Code with reference to Sections 10176 and 10177 of the Business and Professions Code.”

Thus, for the foregoing reasons, Defendants’ demurrer to Plaintiff’s Complaint is overruled.

Defendant is ordered to file and serve an Answer within 10 days of this date.

Applications
to Appear Pro Hac Vice

Cal. Rules of Court, Rule
9.40 states, in relevant part:

“(d) Contents of application

The application must state:

(1) The applicant’s
residence and office address;

(2) The courts to which the
applicant has been admitted to practice and the dates of admission;

(3) That the applicant is a
licensee in good standing in those courts;

(4) That the applicant is
not currently suspended or disbarred in any court;

(5) The title of each court
and cause in which the applicant has filed an application to appear as counsel
pro hac vice in this state in the preceding two years, the date of each
application, and whether or not it was granted; and

(6) The name, address, and
telephone number of the active licensee of the State Bar who is attorney of
record.

(e) Fee for application

The State Bar may set an
appropriate application fee to be paid by counsel pro hac vice.”

Applicant

Michelle Gambino has met all the requirements mandated in Rule 9.40. Thus,
Michelle Gambino’s application to be admitted as counsel pro hac vice is
therefore granted. However, as to Thomas J. McKee, Jr., Mr. McKee failed to
submit any declaration and thus has not met the requirements of Rule 9.40.
Thomas J. McKee, Jr.’s application to appear as counsel pro hac vice is denied
without prejudice.

Michelle D. Gambino is admitted
as counsel pro hac vice in the pending matter.

Defendants

are ordered to give notice of this ruling.